

Playing the adoption game

HP's Neverstop printers are poised to bring a seachange in the SMB business

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HP recently introduced the Neverstop lineup of laser printers which do away with the traditional cartridge system and can be refilled using "toner reload kits" in about 15 seconds, reportedly. We have a chat with HP to understand the reasons behind introducing this new lineup of printers.

Q Do you foresee the neverstop printers completely displacing the monochrome toner cartridge printers in the SMB lineup?

Leo: Not really. They will continue to co-exist. Our intent is to increase our penetration in the SMB market and as of now they'll continue to co-exist. We believe in offering options to the consumer. Suppose a consumer has a requirement that isn't high-volume, they can continue with the existing portfolio that offers a slightly higher cost-per-page but the hardware is cheaper than Neverstop printers. If the consumer has a higher volume requirement and the running cost is critical to the business, then the Neverstop printers offer better value. We will, of course, continue to grow the market and as we discover new market opportunities, we will respond accordingly.

Q The HP Neverstop printer states the cost-per-print being 29 paise out of the box which is close to what refilled cartridges offer as well. Most of the SMB printers tend to go with the refill



Leo Joseph, Sr. Director, Printing Systems and Solutions, HP Inc. India

market because of the cost savings. How does this move help with changing the status quo between original and refill cartridges?

Leo: We are not only breaking the barrier of price but we're also impacting the incentive to buy a counterfeit/refilled cartridge. When there is a massive gap in cost between an original and a counterfeit/refilled cartridge, the consumer tends to go with the latter because of the savings. However, when the cost of the original is brought down in a manner that we have with the HP Neverstop printers, the incentive to buy counterfeit cartridges has been negated. Also, it isn't easy to procure counterfeit cartridges as most think it to be.

Q In the US, you have the HP Instant Ink subscription program which informs the consumer when their cartridge is about to run out and offers refills at reduced prices. Are there any plans of introducing the same program here?

Leo: There aren't any plans to do that.

Q Traditionally, with Inkjet printers, the cost of the printer is subsidised with the expectation that the repetitive refill purchases in the long run will bring in additional revenue. Does that logic

apply here now that you've reduced the cost of the cartridge.

Leo: No that logic no longer applies. The reason we've made post-acquisition cheaper ink is to drive adoption of the Neverstop printers in the SMB market.

Q Didn't that logic reduce the initial cost of purchase for printers, and subsequently, help with greater adoption? Wouldn't the same help drive greater adoption for these new printers as well?

Leo: Here's how we are looking at it. There are 1.6 million laser printers sold in India according to IDC. This is a huge number considering the high cost of printing. What we're trying to do is to drive adoption by reducing the cost of the refill. By making the original cartridge substantially affordable and by making it easier to procure them, we're increasing the pace of adoption. SMBs are growing in India and we believe we'll have a much larger adoption of printers going ahead. This might be a compliance-led adoption (ex. GST) or it could be a business-related adoption. What we're trying to do is increase the TAM (Total Addressable Market) for the laser printer segment.

Q The HP Neverstop Laser 1000 starts at ₹15,846 and the Laser MFP 1200 starts at ₹22,057. Based on this pricing, I'd say that the HP Neverstop printers are not affordable for the home user. Are there any plans of introducing a similar lineup for the home users?

Leo: We already have ink-tank printers for the home user which offers prints at very low cost-per-page. and in a couple of weeks we will see the Smart Tank printers enter the Indian market for the home segment. The Smart Tank printers have already been introduced in certain markets and we'll be bringing it to India soon. So you can see that we are consistently innovating for both SMBs (Neverstop) and for home users (Smart Tank). 